

- Lesson: If you miss seeing an adverse breakout, wait for a throwback or pullback to occur and trade it for a better price on the exit.

Sample Trade

Can you make money on symmetrical triangles? Yes. Consider the trade I made in the stock shown in [Figure 66.6](#). There were a number of factors that led me to this stock, including a rising rig count, rising oil price, cold weather, and related political events (OPEC tightening and possible oil boycott against Nigeria). All of these factors suggested the price of oil during the winter would continue rising and demand for the oil field services industry would remain strong.



Figure 66.6 Measure rule for symmetrical triangles. Use the measure rule to predict the target price. Subtract the low (point A) from the high (point B) and add the difference to the breakout price (point D).

Another factor was that the stock price was riding along the bottom of a trend channel. The method used to create the trend channel is somewhat complicated, but it involves drawing a line using linear regression on the